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13.2.2 Purpose of adjustment entries

The main purpose of adjustment entries are to match current year revenue with the expenses incurred to earn these revenues. Other purposes are:

(i) To exhibit true and fair view of profitability

(ii) To exhibit true and fair view of financial status.

13.2.3 Need for adjustment entries

The need arises to pass adjusting entries for the following reasons:

(i) To record omissions in trial balance such as closing stock, interest on capital, interest on drawings, etc.

(ii) To bring into account outstanding and prepaid expenses.

(iii) To bring into account income accrued and received in advance.

(iv) To create reserves and provisions.

13.2.4 Adjustments and adjustment entries

The following are the common adjustments and adjustment entries which are made while preparing the final accounts.

(i) Closing stock
(ii) Outstanding expenses
(iii) Prepaid expenses
(iv) Accrued income
(v) Income received in advance
(vi) Interest on capital
(vii) Interest on drawings
(viii) Interest on loan
(ix) Interest on investment
(x) Depreciation
(xi) Bad debts
(xii) Provision for bad and doubtful debts
(xiii) Provision for discount on debtors
(xiv) Income tax paid
(xv) Manager's commission

(i) Closing stock

The unsold goods in the business at the end of the accounting period are termed as closing stock. As per AS-2 (Revised), the stock is valued at cost price or net realisable value, whichever is lower.